

GCE AS – ECONOMICS

Component 1: Introduction to Economic Principles Practice Paper 3 (Hard)

Time allowed: 1 hour

ADDITIONAL MATERIALS

A calculator.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Do not use gel pen or correction fluid.

You may use a pencil for graphs and diagrams only.

Answer **all** questions.

Write your answers in the spaces provided. If you run out of space, use the additional pages at the back of the booklet, taking care to number the question(s) correctly.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question.

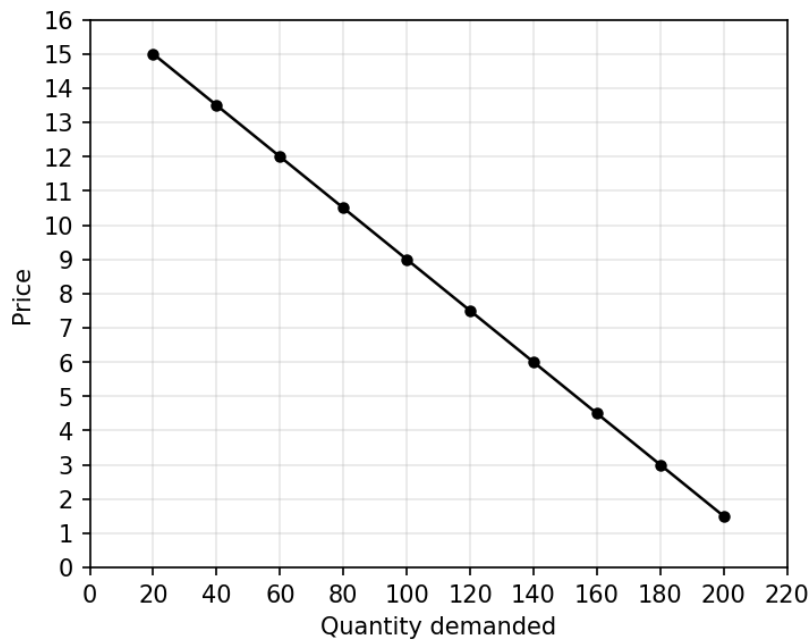
You are reminded of the necessity for good English and orderly presentation in your answers.

For Examiner's use only

Question	Maximum Mark	Mark Awarded
1.	6	
2.	11	
3.	6	
4.	9	
5.	8	
6.	9	
7.	11	
Total	60	

Answer all the questions in the spaces provided.

1. Using calculations for at least two distinct price ranges along the demand curve, outline how price elasticity of demand changes along this demand curve and explain why a profit-maximising producer of an inferior necessity should be cautious about cutting prices at the bottom of the curve. [6]



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2. A multi-category German retailer reported the following sales mix for 2020 as shown in **Table 1**.

Table 1:

Product type	% of sales (in 2020)	Estimated income elasticity of demand
Product 1 (luxury fashion)	30	+4.8
Product 2 (discount supermarket basket)	35	-2.8
Product 3 (mid-tier household goods)	25	+0.4

Note: a further 10% of sales is generated from products whose YED has not been estimated.

(a) Using the data in column 3 of **Table 1**, outline the differences between the three product categories using income elasticity of demand, and identify the category most exposed to a recession.

[5]

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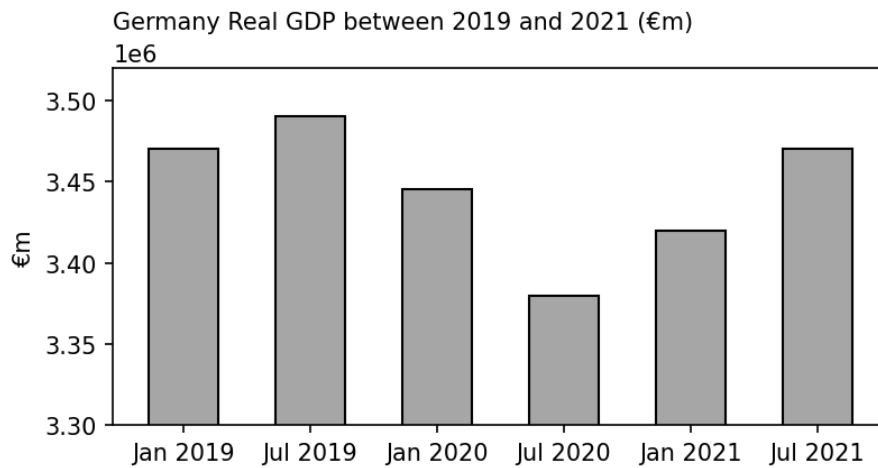
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Figure 1: German Real GDP between 2019 and 2021 (€m)



(b) Using **Table 1** and **Figure 1**, consider whether the change in German Real GDP between 2019 and 2021 will be harmful for the total revenue of the retailer. Pay particular attention to the volatile pattern of GDP over the period. **[6]**

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3. The Argentinian Peso (ARS) experienced sustained pressure between 2022 and 2024. In late 2023 the incoming government devalued the Peso by approximately 50% against the US Dollar in a single decision, moving the official rate from \$1 : 366 ARS to \$1 : 800 ARS. The unofficial "blue dollar" rate at the time was approximately \$1 : 1 000 ARS.

Argentina is a net importer of energy and capital goods. Its central bank held foreign reserves at historically low levels prior to the devaluation, and there were significant capital controls limiting the legal purchase of US dollars.

Figure 2: Argentina trade flows with the US (2023)

Argentine exports to US	Argentine imports from US
\$5.4 bn	\$8.7 bn

(a) Using a demand and supply diagram, outline how the Argentinian central bank may previously have used **capital controls** and reserves to manage its exchange rate **above** the free-market equilibrium. Your diagram should clearly identify the shortage created at the managed rate. **[3]**

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(b) Using **Figure 2** and the surrounding information, explain why the existence of the parallel "blue dollar" rate of \$1 : 1 000 ARS is strong evidence that the previous official rate was not the result of free-market forces. **[3]**

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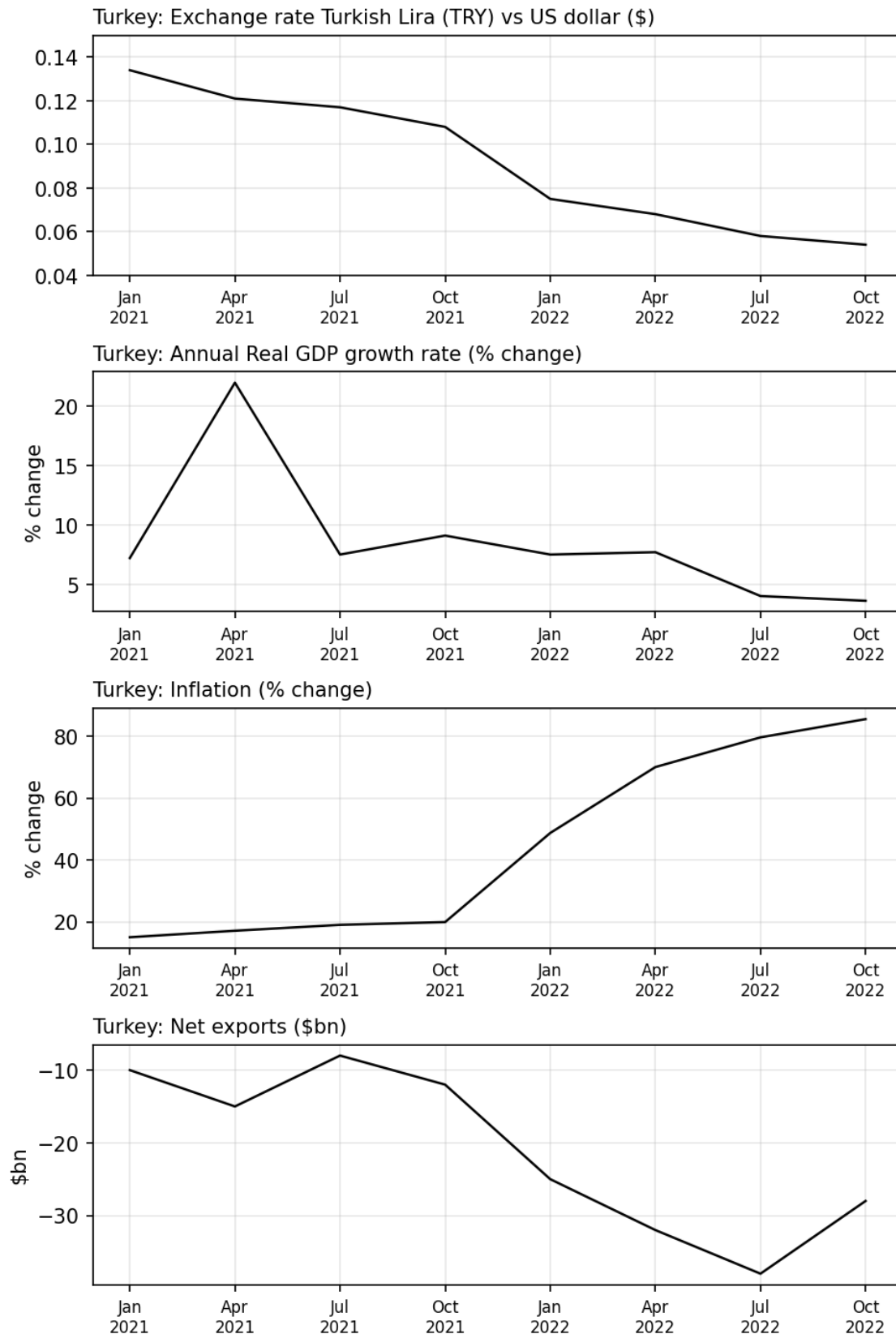
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Using the data and economic analysis, discuss the strength of the relationship between Turkey's exchange rate and its economic growth, inflation and net exports between January 2021 and October 2022. Your answer should consider how unconventional monetary policy in Turkey during this period (cutting interest rates while inflation rose sharply) may complicate the standard analysis. **[9]**

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5. Antibiotic resistance is sometimes described as a "tragedy of the commons" of the 21st century. Each time an antibiotic is prescribed — to humans or used in livestock farming — the effectiveness of that antibiotic is reduced for everyone, everywhere. Yet individual doctors, farmers and patients face strong private incentives to use antibiotics, while bearing only a tiny share of the cost of resistance.

No country or pharmaceutical company holds enforceable property rights over the effectiveness of existing antibiotic compounds. Many countries have weak prescribing controls, and over-the-counter antibiotic sales remain common in some economies. The pipeline of new antibiotics has slowed because the commercial returns to developing them are limited.

To what extent will the absence of enforceable private property rights over antibiotic effectiveness lead to market failure? Your answer should consider both consumption-side and production-side market failures. [8]

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6. A coalition government has announced a comprehensive plan to reduce gambling-related harms. Gambling products are classified as a demerit good. The proposed measures include:

- A statutory levy on all licensed gambling operators set at 1% of gross gambling yield, ring-fenced for addiction treatment.
- A complete ban on television and radio advertising of betting between 5:30am and 10:30pm.
- A new affordability check that requires operators to verify the financial situation of customers depositing more than £150 per month.
- From 2027, a ban on the sponsorship of professional sports teams by gambling companies.
- Mandatory cooling-off periods of 24 hours on stakes above £500 for online casino products.

The Betting and Gaming Council has warned the package will lead to higher prices for consumers (via reduced promotional spend), higher unemployment in the betting shop and digital sectors, and a lower rate of economic growth, particularly because of lost sponsorship revenue to sports. Public-health groups have argued that, on balance, the package will improve productivity by reducing problem gambling.

Evaluate whether the proposed package is likely to lead to higher prices, higher unemployment and a lower rate of economic growth. [9]

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7. In a national second-tier ice hockey league consisting of teams with 24 players, the average wage per player has increased from £640 per week in 2000 to £6 250 per week in 2023.

Recently the league's regulatory body introduced a total wage cap (a maximum total wage cost for labour). The total wage cap was set at £4.8m for each team per year, applicable in 2023.

Several teams stated publicly that the wage cap was "too low" to retain competitive squads at current player headcounts.

(a) Using calculations in your answer, explain why the total wage cap in 2023 might have been said to be "too low". Your calculations should compare the cap with the implied total annual wage bill at current average wages. **[4]**

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In a top-tier American sports league, pre-1976 a "reserve clause" tied players to one club indefinitely, suppressing competitive bidding for their services and effectively imposing a maximum price of labour. After the reserve clause was struck down in 1975, free agency was introduced from 1976. The table below shows real wage changes:

	Elite player real wage per player per year
In 1976 before introduction of free agency	\$ 51 500
In 2000 average wage	\$ 1.95 m
In 2023 average wage	\$ 4.90 m

Over the same period, league broadcasting revenue has risen approximately 60-fold in real terms, franchise valuations have risen sharply, and international markets have opened up new commercial revenue streams. The elasticity of supply of elite athletes is said to be highly inelastic in the short and medium term.

(b) Using a diagram in your answer, discuss whether the removal of the maximum price of labour was the **main** cause of the wage growth of elite American sports players since 1976. Your answer should weigh the impact of the policy change against the demand-side and supply-side factors operating over the same period. **[7]**

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